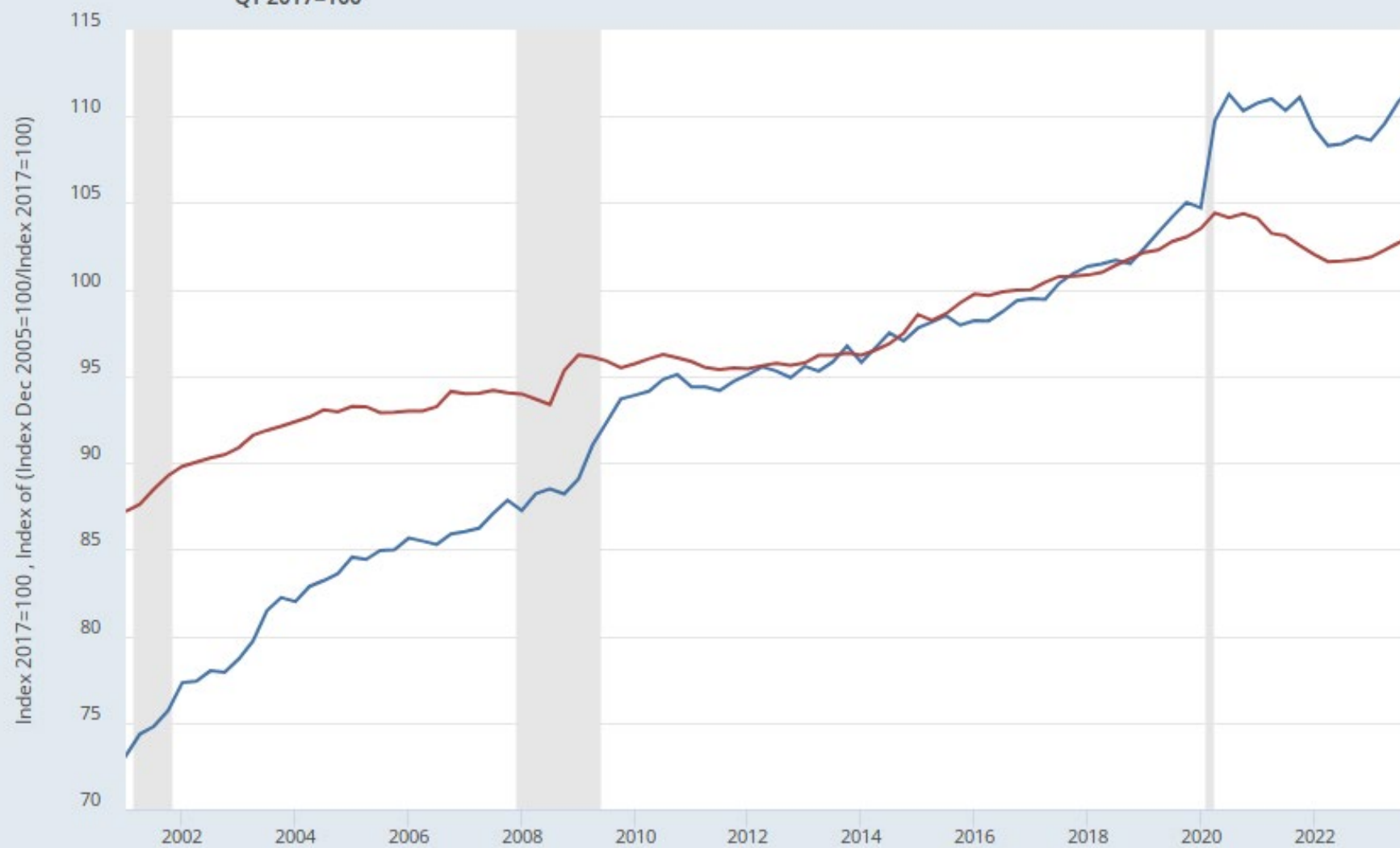


FRED

— Nonfarm Business Sector: Labor Productivity (Output per Hour) for All Workers
— (Employment Cost Index: Total compensation: All Civilian/Personal Consumption Expenditures: Chain-type Price Index),
Q1 2017=100



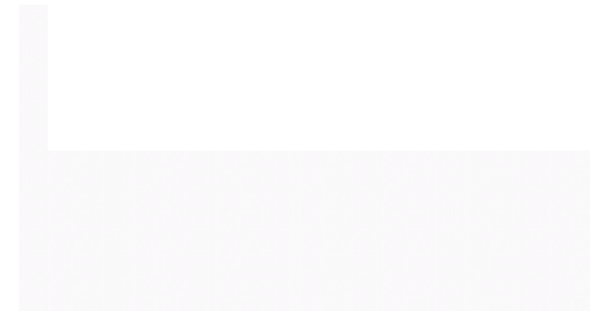
Sources: BLS; BEA

myf.red/g/1h4lC

CENTRAL BANKS RESEARCH

AI a Possible Productivity Enhancer for the U.S.

As the U.S. job market resists breaking under higher interest rates, Jeremy Schwartz, global chief investment officer at [WisdomTree](#), says the surge of artificial intelligence could extend that resilience. Schwartz says job gains have been stronger than he anticipated and come with a rebound in productivity. That means the output each American worker produced this year is higher than in 2022, “and so we’re hiring half as many workers as last year but [having] perhaps twice as fast GDP growth,” he says. Schwartz also says that cushion could extend into next year, adding that “Perhaps, this recent AI technology trend will be a nice productivity enhancer and we will be able to avoid any real slowdown in GDP.”



AI Is Starting to Threaten White-Collar Jobs. Few Industries Are Immune.

Leaders say the fast-evolving technology means many jobs might never return

By [Ray A. Smith](#) [Follow](#)

Feb. 12, 2024 5:30 am ET

Decades after automation began taking and transforming manufacturing jobs, artificial intelligence [is coming for the higher-ups](#) in the corporate office.

The list of white-collar layoffs is growing almost daily and includes [jobs cuts](#) at Google, [Duolingo](#) and UPS in recent weeks. While the total number of jobs directly lost to generative AI remains low, some of these companies and others have linked cuts to new [productivity-boosting technologies](#) such as machine learning and other AI applications.

Generative AI could soon upend a [much bigger share of white-collar jobs](#), including middle and high-level managers, according to company consultants and executives. Unlike



Ask your neighbor! What's their prediction?

These two WSJ articles offer very different forecasts for the impact of AI on worker wages and opportunities. What's your opinion?

- a. AI will boost wages and employment in the long run
- b. AI will widen the income distribution
- c. AI will narrow the income distribution
- d. AI will reduce most wages and employment in the long run
- e. AI won't noticeably impact labor markets